

ORDER-TO-CASH — FINDINGS & RECOMMENDATION

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Headline finding

Government segment DSO (66.8 days) is more than double SME (26.6 days) — and the gap starts before invoicing even happens, not just in payment terms.

Metric	SME	Enterprise	Government
Avg. order-to-invoice	2.2 days	4.1 days	12.6 days
Avg. invoice-to-payment	26.9 days	32.9 days	68.1 days
DSO (value-weighted)	26.6 days	33.3 days	66.8 days
Outstanding AR (open orders)	~€10K	~€343K	~€6.84M

The bottleneck: it starts before the invoice is even issued

The instinctive assumption is that government payment cycles are just slow — a fact of doing business with the public sector that can't be fixed. That's only half the story. Government orders take 12.6 days from order to invoice — 10.4 days longer than SME — due to a manual approval step exclusive to government contracts. That delay happens entirely inside the company, before the invoice is even sent, and before the government's own (unavoidably slower) payment process even starts.

Recommendation

Automate invoice validation against the purchase order and contract terms for government orders, removing the manual approval step, targeting invoice issuance in under 3 days (in line with SME/Enterprise). This does not touch the external, unchangeable government payment-run timeline — it only removes internal delay the company controls.

Cash-flow impact

Government revenue over the analysis period averages approximately €157,000/day. Reducing the order-to-invoice delay by 7 days — well within reach of an automated validation step — frees an estimated €1,103,172 in working capital, without any change to government payment behavior, contract terms, or customer relationship.

Why this matters beyond the number

€6.84M currently sits in outstanding Government receivables — over 90% of all outstanding AR across the business, despite Government being only 15% of order volume. A process fix here has a disproportionately large effect on overall cash position relative to its scope.